October 22, 2026 04:13 AM GMT

Meta Platforms Inc | North America

Core, Muse and More

META's core runway is long, Muse is budding and Meta has a plan to scale it (and other call options) profitably with improving compute efficiency. $820 PT, stay OW, as META cleanest consumer GenAI winner.

6 Standouts About the Core As The "Evolution" Continues and It Seems Early … META 3Q revenue/top end of 4Q guide was 1%/1% better than modeled. META's core business continues to impress with 6 highlights standing out to us: **1) Double Digit Engagement Growth** Facebook and Instagram time spent grew double digits year-on-year. This is impressive off of the estimated ~40/~60 minutes spent per user per day bases (we believe). **2) Threads** Threads now has more monthly active users than X with time spent per user growing over 20% year-on-year **3) Monetization and Conversion Improvers**: Meta Generative Recommender, Andromeda, new recommendation engines and expanded GEM all drove further conversion benefits **4) Relevancy** Nearly 45% of recommended Instagram Reels are now less than one day old, up more than 11 percentage points from Q2. **5) Serving Efficiency** This quarter, META moved its content understanding models onto its Muse model family, reducing per-unit content processing costs by more than 80% across Instagram, Threads, Facebook, and Ads. **6) The Runway Seems Long**: **This list of improvements (with more to come as META LLMs improve) with a growing corpus of time and improving ad performance per minute give us increased confidence in META's core businesses to grow faster for longer.** Recall that at 4Q25 earnings, META management described how the current models may one day be "primitive"…well, they are continuing to evolve and improve.

…With Multiple Call Options Not Priced in Shares: While META's core continues to impress, we think the multiple call options from Muse to subscriptions to business agents to an enterprise/API offering that are in the opex/capex but not the revenue forecast are what make META particularly interesting as a stock from here.

Meta's Muse Remains Early Agentic Leader: META shared several encouraging metrics on early Muse adoption and engagement with >10mn users setting up personal agents in the first six weeks across the US and Canada and ~25% using Muse daily. Shopping has emerged as the leading use case with >25% of weekly active users shopping through Muse at an average purchase size of >$200. **We see this high commercial intent as encouraging for Muse's longer-term monetization potential**, particularly given META's existing relationships with ~500mn businesses. Further, >30% of Muse users have connected a service and **connector applications have doubled from ~1,500 since Meta Connect**, speaking to growing ecosystem adoption.

Notably, too, META is focusing on building a profitable business with Muse. As detailed here, **model efficiency improvements will be critical to profitably scaling Muse to hundreds of millions of users**. We are incrementally encouraged by management's expectation for >10X improvement in Muse serving cost efficiency

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Meta Platforms Inc (META.O, META US)

Internet | United States of America

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	**$820.00**
Shr price, close (Oct 21, 2026)	$697.52
Mkt cap, curr (mm)	$2,188,489
52-Week Range	$779.82-520.26

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over the next year, although achieving this will require further technical advances and progress will be important to monitor throughout 2027. Muse Wonder represents an important step toward this goal as we expect META to distill its frontier-level capabilities into smaller, more efficient "product models" that can deliver similar intelligence at a fraction of today's cost. ***Please let us know if interested in our Muse cost-to-serve model.***

Showing Discipline While Investing Aggressively: While META is continuing to invest in the long-term core and emerging opportunities, it also continues to show discipline when possible, including guiding '27 Reality Lab losses to be around $15bn (which would be down $18.5bn from our '26 estimate)...with further improvement expected in '28. Notably, we are not assuming opex goes down, but rather that it is allocated toward stronger endeavors (like those above).

'28 EPS Rises 2%, PT Remains $820 (~15% Upside): Our model is largely unchanged but '27/'28 revenue rises by 1%/1%, while '27/'28 EPS changes are flat/ +2%. Notably, while we are reducing Reality Labs losses by ~$4bn/~$3bn in '27/'28, we are assuming Meta re-allocates the investment toward new AI investments instead. We remain OW with our $820 PT having ~15% upside. Our $1,000 bull case potentially comes into play to the extent that Muse users scale faster and/or we see even more commercial and non commercial use cases...success with business agents, API or Meta Enterprise could also bring the bull case into play...speaking to the call options within META.

Exhibit 1: Our $820 META PT is based off a ~23X multiple on the average of our '27/'28 EPS, and implies ~15% upside from current levels.

META Valuation			
	Bear	**Base**	**Bull**
'27/'28 Avg. EPS	$32.58	$35.40	$36.70
(X) P/E	15X	23X	27X
(=) Price Per Share	**$475**	**$820**	**$1,000**
% upside/(downside)	(33%)	15%	40%
Implied P/E on '27 EPS	14X	24X	29X
Implied P/E on '28 EPS	13X	22X	27X

Source: Company data, Morgan Stanley Research

Exhibits

Exhibit 2: META Prior vs. Current

	2026 Prior	2027 Prior	2028 Prior	2026 Current	2027 Current	2028 Current	2026 Revision	2027 Revision	2028 Revision
Total revenue	**256,491.3**	**316,127.4**	**381,849.7**	**257,468.8**	**318,231.7**	**385,585.6**	**0.4%**	**0.7%**	**1.0%**
Advertising revenue	**249,308.7**	**305,565.1**	**367,748.8**	**251,135.1**	**309,255.8**	**373,602.7**	**0.7%**	**1.2%**	**1.6%**
Payments/other revenue	**7,182.6**	**10,562.4**	**14,100.9**	**6,333.7**	**8,975.9**	**11,982.9**	**-11.8%**	**-15.0%**	**-15.0%**
Mobile as a % of total advertising revenue	98.3%	98.5%	98.6%	98.3%	98.5%	98.6%	0 bp	0 bp	0 bp
Mobile ad revenue	244,997.1	300,892.2	362,584.8	246,792.8	304,526.9	368,356.8	0.7%	1.2%	1.6%
% change Y/Y							--	--	--
Cost of revenue (ex-SBC)	49,495.6	75,617.3	99,280.9	50,517.0	75,571.6	99,481.1	2.1%	-0.1%	0.2%
Gross profit	**206,995.7**	**240,510.1**	**282,568.8**	**206,951.7**	**242,660.2**	**286,104.5**	**0.0%**	**0.9%**	**1.3%**
Gross margin	80.7%	76.1%	74.0%	80.4%	76.3%	74.2%	(32) bp	17 bp	20 bp
Total operating expenses (GAAP)	**125,051.6**	**135,658.7**	**167,250.2**	**126,374.9**	**137,514.9**	**167,729.7**	**1%**	**1%**	**0%**
Sales and marketing (ex-SBC)	11,733.0	14,541.9	19,092.5	11,741.2	14,569.0	19,279.3	0%	0%	1%
Research and development (ex-SBC)	64,797.0	83,177.0	103,481.3	62,555.1	83,470.0	103,336.9	-3%	0%	0%
General and administrative (ex-SBC)	22,738.7	11,616.5	14,128.4	24,662.2	11,601.1	14,266.7	8%	0%	1%
Stock-based compensation	25,782.9	26,323.3	30,548.0	27,416.5	27,874.9	30,846.9	6%	6%	1%
Non-recurring items	0.0	0.0	0.0	0.0	0.0	0.0	NA	NA	NA
Depreciation and amortization (included in expense lines)	31,490.7	58,977.1	98,679.4	29,021.2	55,796.5	95,940.9	-8%	-5%	-3%
Total operating expenses % of Rev									
Sales and Marketing (ex-SBC)	4.6%	4.6%	5.0%	4.6%	4.6%	5.0%	-1bp	-2bp	0bp
Research and development (ex-SBC)	25.3%	26.3%	27.1%	24.3%	26.2%	26.8%	-97bp	-8bp	-30bp
General and administrative (ex-SBC)	8.9%	3.7%	3.7%	9.6%	3.6%	3.7%	71bp	-3bp	0bp
Stock-based compensation	10.1%	8.3%	8.0%	10.6%	8.8%	8.0%	60bp	43bp	0bp
Non-recurring items	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0bp	0bp	0bp
Depreciation and amortization (included in expense lines)	12.3%	18.7%	25.8%	11.3%	17.5%	24.9%	-101bp	-112bp	-96bp
Total costs and operating expenses (GAAP) Y/Y % Change	48.3%	21.0%	26.2%	50.3%	20.5%	25.4%	199 bp	(58) bp	(75) bp
Total costs and operating expenses (non-GAAP)	53.0%	24.4%	27.6%	52.9%	24.6%	27.6%	(14) bp	19 bp	2 bp
GAAP Operating Income	**81,944.2**	**104,851.4**	**115,318.6**	**80,576.8**	**105,145.2**	**118,374.8**	**-1.7%**	**0.3%**	**2.7%**
Margin	32%	33%	30%	31%	33%	31%			
EBITDA (adjusted)	**139,217.8**	**190,151.9**	**244,546.0**	**137,014.4**	**188,816.6**	**245,162.5**	**-1.6%**	**-0.7%**	**0.3%**
EBITDA margin (adjusted)	**54.3%**	**60.2%**	**64.0%**	**53.2%**	**59.3%**	**63.6%**	(106) bp	(82) bp	(46) bp
Incremental EBITDA margin	30.4%	85.4%	82.8%	26.0%	85.3%	83.7%	(443) bp	(16) bp	89 bp
EPS (GAAP)	**$29.43**	**$34.04**	**$35.76**	**$28.70**	**$34.19**	**$36.62**	**-2.5%**	**0.4%**	**2.4%**
Average basic shares	2,565.0	2,611.9	2,641.9	2,556.2	2,612.7	2,644.2	0%	0%	0%
Average diluted shares	2,590.0	2,635.5	2,665.8	2,580.1	2,634.2	2,666.0	0%	0%	0%
Capex	144,654.0	225,154.0	250,154.0	144,436.0	224,936.0	249,936.0	0%	0%	0%
Free Cash Flow	5,322.6	(26,215.8)	(2,806.7)	(295.7)	(29,072.7)	(1,988.3)	-106%	11%	-29%
Free Cash Flow per Share	**$2.06**	**-$9.95**	**-$1.05**	**-$0.11**	**-$11.04**	**-$0.75**	**-106%**	**11%**	**-29%**

Source: Company data, Morgan Stanley Research

Exhibit 3: META Actuals vs. Estimates

	Actual vs. Estimate			
	3Q2026		Variance	
	Actual	Estimate	Absolute	%/bp
Total revenue	**64,601.0**	**64,172.5**	**428.5**	**0.7%**
Advertising revenue	**63,061.0**	**62,233.2**	**827.8**	**1.3%**
North America advertising revenue	28,438.0	26,240.7	2,197.3	8.4%
Europe advertising revenue	14,234.0	14,267.9	(33.9)	-0.2%
Asia advertising revenue	11,531.0	12,546.4	(1,015.4)	-8.1%
ROW advertising revenue	8,858.0	9,178.3	(320.3)	-3.5%
Payments/other revenue	**1,540.0**	**1,939.2**	**(399.2)**	**-20.6%**
Cost of revenue (ex-SBC)	12,983.1	12,834.5	148.6	1.2%
Gross profit	**51,617.9**	**51,338.0**	**279.9**	**0.5%**
Gross margin	79.9%	80.0%	(9.7)	—
Total operating expenses (GAAP)	**38,629.9**	**37,540.9**	**1,089.0**	**2.9%**
Sales and marketing (ex-SBC)	2,871.2	2,887.8	(16.5)	-0.6%
Research and development (ex-SBC)	13,979.3	16,364.0	(2,384.7)	-14.6%
General and administrative (ex-SBC)	14,416.3	12,513.6	1,902.7	15.2%
Stock-BBsed compensation	7,363.0	5,775.5	1,587.5	27.5%
Non-recurring items	0.0	0.0	0.0	NA
Depreciation and amortization (included in expense lines)	7,154.0	8,712.3	(1,558.3)	-17.9%
EBITDA (adjusted)	**27,505.0**	**28,284.9**	**(779.9)**	**-2.8%**
EBITDA margin (adjusted)	**42.6%**	**44.1%**	(150.0)	**—**
Incremental EBITDA margin	-26.6%	-21.4%	(515.1)	—
EBITDA	**20,142.0**	**22,509.4**	**(2,367.4)**	**-10.5%**
EBITDA margin	**31.2%**	**35.1%**	(390) bp	**—**
Incremental EBITDA margin	-40.1%	-23.1%	(1698) bp	—
Total operating income (GAAP)	**12,988.0**	**13,797.1**	**(809.1)**	**-5.9%**
Operating margin (GAAP)	20.1%	21.5%	(140) bp	—
Other income/(expense), net (adjusted)	13.0	(17.5)	30.5	NA
Pretax income (GAAP)	**13,001.0**	**13,779.6**	**(778.6)**	**-5.7%**
Tax rate (GAAP)	24.2%	16.0%	816 bp	—
Tax rate (adjusted)	16.0%	16.0%	0.0	—
Net income (GAAP)	**9,860.0**	**11,574.9**	**(1,714.9)**	**-14.8%**
EPS (adjusted)	**$6.66**	**$6.30**	**0.4**	**5.7%**
EPS (GAAP)	**$3.83**	**$4.43**	**-$0.60**	**-13.6%**
Average Basic shares	2,552.0	2,587.2	(35.2)	-1.4%
Average diluted shares	2,573.0	2,610.6	(37.6)	-1.4%

Source: Company data, Morgan Stanley Research estimates

Risk Reward – Meta Platforms Inc (META.O)

The Age of Efficiency

PRICE TARGET $820.00

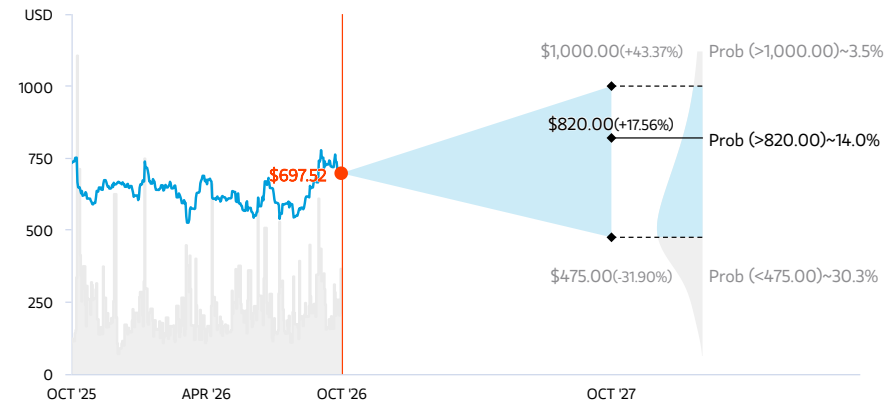
Our $820 PT is based on applying a ~23X P/E multiple to the average of our ~$34/$36 EPS estimates for "27/'28. This multiple is slightly above the long-term average of ~21x due to long-term optionality on monetization nodes, including 1) Muse, 2) Subscriptions, 3) API, etc.

Consensus Price Target Distribution $580.00 — $809.95 (MS PT) — $1,050.00

Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 Oct 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

- **A Structural Pivot to Focus on Multi-Year Efficiency, Productivity and Leaner Operations...** We think META's "year of efficiency" is more than just a 365 day change...but rather a structural and cultural pivot to operate leaner and with a greater focus on investor returns...even through investment.
- **Importantly, Revenue and Engagement Trends Are Also Improving Across META's Platform...** our industry and company conversations speak to progress driving incremental Reels engagement and monetization...and traction improving ad measurement/attribution in the post IDFA world.
- **3 "Call Options"** including 1) further AI driven upside, 2) subscription adoption and 3) click-to-message.

Consensus Rating Distribution

- 89% Overweight
- 10% Equal-weight
- 2% Underweight
- MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Self-help:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $1,000.00

Implied ~27x blended '27/'28 P/E

AI investments drive increased engagement and lead to new products/services, which supports outsized ad monetization and revenue growth. Execution on newer offerings (like click to message, subscriptions, and Meta Business AI) could also contribute to higher than expected growth. META could also drive further efficiency gains and be more successful in closing the Reels monetization gap.

BASE CASE $820.00

Implied ~23X base case blended '27/'28 P/E

Ad revenue grows ~28% in '26 as META's AI investments drive incremental Reels engagement/monetization and support improved performance and ad measurement/attribution across the Family of Apps. We also see META continuing to focus on efficiency and explore new ways to monetize META's extensive data center capacity.

BEAR CASE $475.00

Implied ~15x blended '27/'28 P/E

Declines in engagement and/or evidence of Reels monetization ramping more slowly than expected could lead to lower growth and greater uncertainty. We also watch for any macro uncertainty, regulation that limits META's ability to target ads, Higher capital intensity from mis-execution around the data center build widens losses with minimal ROIC. Any additional opex and capex could weigh on operating income growth and FCF.

Risk Reward – Meta Platforms Inc (META.O)

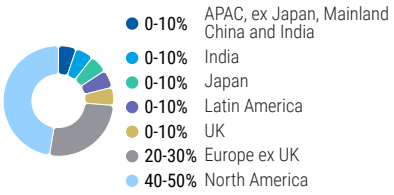
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Constant Currency % Growth (%)	22.5	27.5	23.7	20.8
Operating income (GAAP) ($, mm)	83,276	80,577	105,145	118,375
Consolidated Total Daily Active Users (mm)	2,239.9	2,294.5	2,344.5	2,389.2

INVESTMENT DRIVERS

- We are positive on META's structural pivot towards efficiency and improving revenue, engagement and Reels. We continue to monitor META's progress on call options (AI, subscriptions, click-to-message) and further investment in AI/data centers.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected Reels monetization & higher engagement growth
- Increased benefit from AI investment
- Revenue driven by subscriptions and/or click-to-message ads
- Further efficiency improvements drive outsized FCF growth

RISKS TO DOWNSIDE

- Macro pressures/weaker consumer spend
- Regulation impacts ability to target ads
- Reality labs losses widen further
- Mis-execution risk could result in higher LT capital intensity

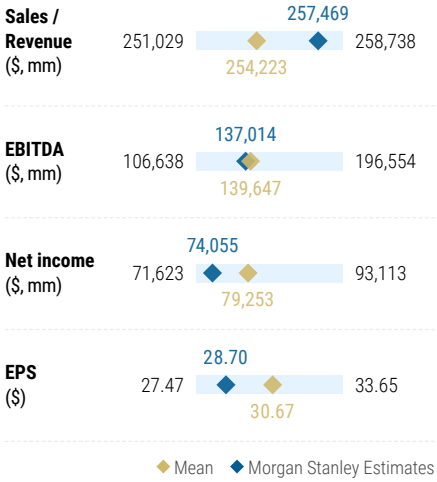
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.2%
HF Sector Long/Short Ratio	2.2x
HF Sector Net Exposure	9.9%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 4: META Income Statement

Income Statement	2025	2026E	2027E	2028E	25-'28 CAGR
Advertising revenue	$196,174.0	$251,135.1	$309,255.8	$373,602.7	24.0%
Payments/other revenue	4,791.0	6,333.7	8,975.9	11,982.9	35.7%
Total net revenue	**$200,965**	**$257,469**	**$318,232**	**$385,586**	24.3%
Cost of revenue (ex-SBC)	35,067.7	50,517.0	75,571.6	99,481.1	41.6%
Gross profit	**$165,897**	**$206,952**	**$242,660**	**$286,105**	19.9%
Gross margin	82.6%	80.4%	76.3%	74.2%	
Sales and marketing (ex-SBC)	$10,528.2	$11,741.2	$14,569.0	$19,279.3	22.3%
Research and development (ex-SBC)	40,904.9	62,555.1	83,470.0	103,336.9	36.2%
General and administrative (ex-SBC)	10,762.2	24,662.2	11,601.1	14,266.7	9.9%
Stock-based compensation	20,426.0	27,416.5	27,874.9	30,846.9	14.7%
Non-recurring items	0.0	0.0	0.0	0.0	
Depreciation and amortization (included in expense lines)	18,616.0	29,021.2	55,796.5	95,940.9	72.7%
Total operating expenses (GAAP)	82,621.3	126,374.9	137,514.9	167,729.7	26.6%
Operating income (GAAP)	**$83,276**	**$80,577**	**$105,145**	**$118,375**	12.4%
GAAP operating margin	41.4%	31.3%	33.0%	30.7%	
Adjusted EBITDA	**$122,318**	**$137,014**	**$188,817**	**$245,163**	26.1%
Adj. EBITDA margin	60.9%	53.2%	59.3%	63.6%	
Incremental adj. EBITDA margin	56.6%	26.0%	85.3%	83.7%	
EBITDA	**$101,892**	**$109,598**	**$160,942**	**$214,316**	28.1%
EBITDA margin	50.7%	42.6%	50.6%	55.6%	
Incremental EBITDA margin	46.7%	13.6%	84.5%	79.2%	
Interest & other income/(expense), net (GAAP)	2,657.0	(1,232.4)	(429.4)	(4,856.9)	
Pre-tax income (GAAP)	**85,933.0**	**79,344.4**	**104,715.8**	**113,517.9**	9.7%
Income tax provision/(benefit) (GAAP)	25,475.0	5,289.7	14,660.2	15,892.5	(14.6%)
Tax rate (GAAP)	29.6%	6.7%	14.0%	14.0%	
Net income (GAAP)	**$60,458**	**$74,055**	**$90,056**	**$97,625**	17.3%
EPS (GAAP)	**$23.49**	**$28.70**	**$34.19**	**$36.62**	16.0%

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: META Balance Sheet

Meta | Balance sheet

(USD millions)	2025	2026E	2027E	2028E
Balance Sheet				
Assets:				
Cash & cash equivalents	35,873.0	28,513.5	13,954.1	16,412.9
Marketable securities	45,719.0	71,227.0	71,227.0	71,227.0
Accounts receivable, net	19,769.0	25,004.9	30,268.8	36,147.3
Prepaid expenses and other current assets	7,361.0	13,861.1	15,881.8	18,850.6
Total Current Assets	**108,722.0**	**138,606.4**	**131,331.7**	**142,637.9**
Property and equipment, net	176,400.0	301,113.7	465,866.9	615,985.2
Goodwill & other intangible assets, net	25,334.0	24,198.3	24,174.3	24,150.3
Other assets	55,565.0	81,493.0	81,493.0	81,493.0
Total Assets	**366,021.0**	**545,411.4**	**702,865.8**	**864,266.3**
Liabilities:				
Accounts payable	8,894.0	24,514.5	33,115.2	43,592.3
Platform partners payable	0.0	0.0	0.0	0.0
Accrued expenses and other current liabilities	30,729.0	42,248.1	53,514.3	67,705.2
Deferred revenue & deposits	0.0	1,539.9	1,895.5	2,296.7
Capital lease obligations, current portion	2,213.0	2,522.0	2,522.0	2,522.0
Total Current Liabilities	**41,836.0**	**70,824.5**	**91,047.0**	**116,116.1**
Capital lease obligations, less current portion	22,940.0	27,420.1	23,009.8	19,109.0
Long-term debt	58,744.0	110,922.0	140,922.0	160,922.0
Other liabilities	25,258.0	33,984.4	33,182.8	32,355.7
Total Liabilities	**148,778.0**	**243,151.0**	**288,161.6**	**328,502.9**
Shareholders' Equity:				
Preferred equity	0.0	0.0	0.0	0.0
Common equity	0.0	0.0	0.0	0.0
Additional paid-in capital	95,793.0	117,107.5	144,982.3	173,969.2
Accumulated other comprehensive income	271.0	(1,200.0)	(1,200.0)	(1,200.0)
Retained Earnings	121,179.0	186,352.9	270,921.8	362,994.3
Total Shareholders' Equity	**217,243.0**	**302,260.4**	**414,704.1**	**535,763.5**
Total Liabilities & Shareholders' Equity	**366,021.0**	**545,411.4**	**702,865.8**	**864,266.3**

Source: Company data, Morgan Stanley Research estimates

Exhibit 6: META Cash Flow Statement

Meta | Cash flow statement

(USD millions)	2025	2026E	2027E	2028E
Cash Flow Statement				
Operating Cash Flow:				
Net income	60,458.0	74,854.7	90,055.6	97,625.4
Depreciation & amortization	18,616.0	29,021.2	55,796.5	95,940.9
Stock-based compensation	20,426.0	27,416.5	27,874.9	30,846.9
Deferred income taxes	18,738.0	3,685.0	0.0	0.0
Tax benefit from stock-based compensation	0.0	0.0	0.0	0.0
Excess tax benefit from stock-based compensation	0.0	0.0	0.0	0.0
Other	(1,553.0)	3,302.0	10,000.0	8,140.0
Funds from operations	**116,685.0**	**138,279.4**	**183,727.0**	**232,553.1**
	0.0	0.0	0.0	0.0
Changes in Working Capital:				
Accounts receivable				
Prepaid expenses & other current assets	(88.0)	(3,293.1)	(2,020.7)	(2,968.8)
Other assets	(481.0)	(4,973.0)	0.0	0.0
Accounts payable	(14.0)	6,660.5	8,600.6	10,477.1
Platform partners payable	0.0	0.0	0.0	0.0
Accrued expenses & other current liabilities	1,077.0	8,458.1	11,266.2	14,190.8
Deferred revenue & deposits	0.0	1,539.9	355.6	401.2
Other liabilities	437.0	3,029.4	(801.6)	(827.1)
Changes in Working Capital	**(885.0)**	**5,861.0**	**12,136.3**	**15,394.6**
Operating Cash Flow	**115,800.0**	**144,140.3**	**195,863.3**	**247,947.7**
	0.0	0.0	0.0	0.0
Investing Cash Flow:				
Purchases of PP&E (Capex)				
Purchase of marketable securities	(36,929.0)	(119,468.0)	(8,000.0)	(8,000.0)
Maturities and sales of marketable securities	26,874.0	90,838.0	8,000.0	8,000.0
Investments in non-marketable equity securities	(21,206.0)	(2,544.0)	0.0	0.0
Acquisitions, net of cash, & purchases of intangible and other assets	(1,051.0)	(80.0)	0.0	0.0
Change in restricted cash & deposits	0.0	0.0	0.0	0.0
Investing Cash Flow	**(102,003.0)**	**(171,690.1)**	**(220,525.7)**	**(246,035.2)**
	0.0	0.0	0.0	0.0
Financing Cash Flow:				
Net proceeds from issuance of common stock				
Net proceeds from issuance of preferred stock	0.0	0.0	0.0	0.0
Proceeds from exercise of stock options	0.0	0.0	0.0	0.0
Proceeds from / (repayments of) long-term debt	29,906.0	54,910.0	30,000.0	20,000.0
Proceeds from sale & lease-back transactions	0.0	0.0	0.0	0.0
Cash dividends paid	(5,324.0)	(5,422.8)	(5,486.7)	(5,552.9)
Principal payments on capital lease obligations	(2,524.0)	(3,999.9)	(4,410.3)	(3,900.8)
Excess tax benefit from stock-based award activities	(24,028.0)	(2,632.0)	(10,000.0)	(10,000.0)
Other	(18,400.0)	(12,768.0)	0.0	0.0
Financing Cash Flow	**(20,370.0)**	**30,087.3**	**10,103.0**	**546.4**
Effects of FX	235.0	8.0	0.0	0.0
Beginning Cash	43,889.0	35,873.0	28,513.5	13,954.1
(+/-) Net changes in cash	(6,338.0)	2,545.5	(14,559.4)	2,458.9
(+/-) Restatements / adjustments	(1,678.0)	(9,905.0)	0.0	0.0
Ending Cash	**35,873.0**	**28,513.5**	**13,954.1**	**16,412.9**

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of September 30, 2026)

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Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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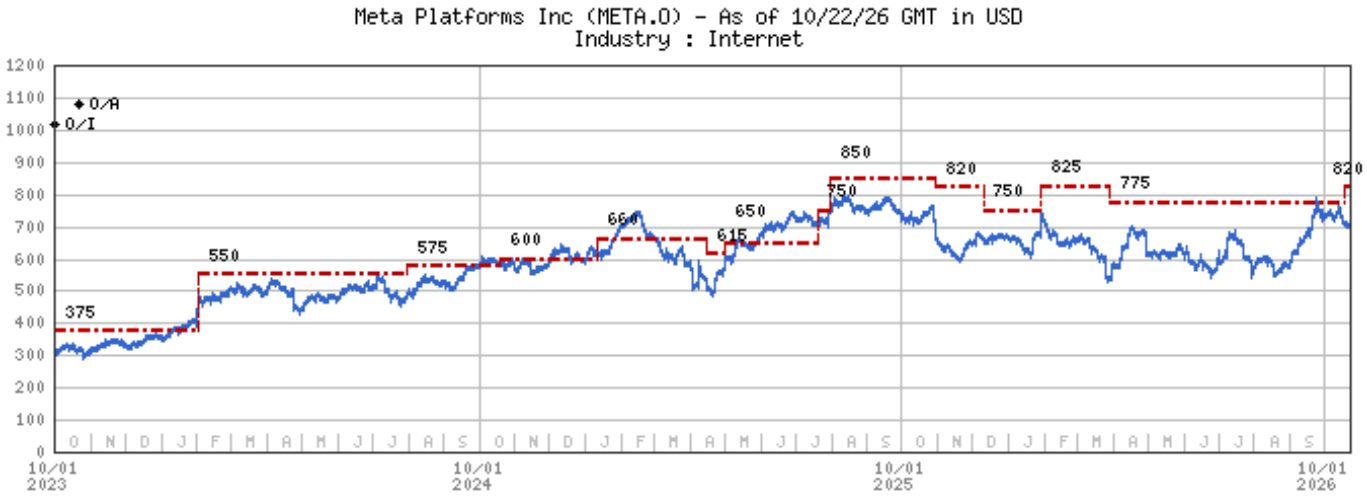
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Price Target History: 7/28/21 : 400; 10/26/21 : 365; 1/19/22 : 395; 2/3/22 : 360; 3/2/22 : 325; 4/28/22 : 330; 5/31/22 : 300; 7/18/22 : 280; 8/18/22 : 225; 10/9/22 : 205; 10/27/22 : 105; 11/14/22 : 100; 1/17/23 : 130; 2/2/23 : 190; 3/20/23 : 250; 4/26/23 : 300; 7/12/23 : 350; 7/27/23 : 375; 2/2/24 : 550; 7/31/24 : 575; 10/20/24 : 600; 1/12/25 : 660; 4/16/25 : 615; 5/1/25 : 650; 7/20/25 : 750; 7/31/25 : 850; 10/30/25 : 820; 12/10/25 : 750; 1/29/26 : 825; 3/29/26 : 775; 10/18/26 : 820

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Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/21/2026)
Brian Nowak, CFA		
Alphabet Inc. (GOOGL.O)	O (08/11/2015)	$334.76
Amazon.com Inc (AMZN.O)	O (04/24/2015)	$262.37
DoorDash Inc (DASH.O)	O (02/21/2024)	$184.45
Instacart (CART.O)	E (01/29/2024)	$50.31
Lyft Inc (LYFT.O)	E (10/24/2019)	$16.79
Meta Platforms Inc (META.O)	O (03/20/2023)	$697.52
Pinterest Inc (PINS.N)	O (07/20/2025)	$22.95
Reddit Inc (RDDT.N)	O (12/08/2024)	$153.28
Snap Inc. (SNAP.N)	E (07/22/2024)	$6.35
Uber Technologies Inc (UBER.N)	++	$67.62
Matthew Cost		
Airbnb Inc (ABNB.O)	E (09/16/2026)	$173.69
AppLovin Corp (APP.O)	O (04/10/2025)	$267.90
Booking Holdings Inc (BKNG.O)	O (02/23/2026)	$158.38
Compass, Inc. (COMP.N)	E (01/12/2026)	$9.72
Criteo SA (CRTO.O)	E (01/26/2016)	$14.94
DoubleVerify Holdings Inc (DV.N)	E (06/25/2024)	$13.56
Expedia Inc. (EXPE.O)	U (09/16/2026)	$285.64
Liftoff Mobile Inc. (LFTO.O)	E (06/29/2026)	$16.49
MNTN Inc (MNTN.N)	E (06/16/2025)	$9.93
Opendoor Technologies Inc (OPEN.O)	E (07/24/2023)	$1.95
Playtika Holding Corp (PLTK.O)	E (11/27/2022)	$2.06
Roblox Corporation (RBLX.N)	O (11/04/2024)	$52.55
Take-Two Interactive Software (TTWO.O)	O (02/01/2018)	$206.16

Trade Desk Inc (TTD.O)	E (09/10/2025)	$12.59
Unity Software Inc (U.N)	O (09/02/2024)	$41.21
Webtoon Entertainment Inc (WBTN.O)	E (07/22/2024)	$9.84
Yelp Inc (YELP.N)	U (01/10/2019)	$19.78
Zillow Group Inc (Z.O)	E (04/18/2018)	$31.31
Nathan Feather		
Bumble Inc. (BMBL.O)	++	$5.95
Chewy Inc (CHWY.N)	O (10/31/2023)	$21.33
Duolingo Inc (DUOL.O)	E (02/27/2026)	$137.32
eBay Inc (EBAY.O)	O (04/18/2024)	$122.90
Etsy Inc (ETSY.N)	E (07/20/2025)	$87.23
FIGS, Inc. (FIGS.N)	E (02/29/2024)	$19.98
Grindr Inc. (GRND.N)	O (07/01/2026)	$13.73
Match Group Inc (MTCH.O)	E (04/18/2024)	$46.30
Peloton Interactive, Inc. (PTON.O)	U (09/08/2026)	$5.24
Revolve Group Inc (RVLV.N)	E (10/20/2024)	$22.01
WW International Inc (WW.O)	E (08/01/2025)	$14.20

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* Historical prices are not split adjusted.

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